

CENTUM INVESTMENT COMPANY LIMITED
ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2012

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REGISTERED OFFICE

International House
Mama Ngina Street
P.O.Box 10518-00100
Nairobi

COMPANY SECRETARY

N E Nyamongo
Certified Public Secretary (Kenya)
International House
Mama Ngina Street
P.O.Box 10518-00100
Nairobi

AUDITOR

PricewaterhouseCoopers
The Rahimtulla Tower
Upper Hill Road
P. O. Box 43963-00100
Nairobi

BANKERS

Co-operative Bank of Kenya Limited
Co-operative Bank House, Haile Selassie Avenue
P.O.Box 48231 – 00100
Nairobi

Commercial Bank of Africa Limited
International House
Mama Ngina Street
P.O.Box 30437 – 00100
Nairobi

Standard Chartered Bank Kenya Limited
Stanbank House
Moi Avenue
P.O.Box 40310 – 00100
Nairobi

LAWYERS

Coulson Harney Advocates
Unit A, Nairobi Business Park, Ngong Road
P.O. Box 10643 - 00100
Nairobi

Ndungu Njoroge & Kwach Advocates
12th Floor, International House
P.O. Box 41546 – 00100
Nairobi

Simba & Simba Advocates
Finance House
P.O. Box 10312 – 00100
Nairobi

BOARD OF DIRECTORS	J N Muguiyi - Chairman J M Mworia - Managing Director C J Kirubi Industrial & Commercial Development Corporation (ICDC) P M Kimurwa (Alternate to ICDC) H C Njoroge The Permanent Secretary, Ministry of Trade M M Byama (Alternate to Permanent Secretary, Ministry of Trade) R M Mwangi I Khan R K Bunyi
INVESTMENT COMMITTEE	C J Kirubi - Chairman P M Kimurwa M Mwangi J M Mworia R K Bunyi I Khan
AUDIT AND RISK COMMITTEE	I Khan - Chairman R K Bunyi H C Njoroge M Byama
NOMINATION & GOVERNANCE COMMITTEE	P M Kimurwa - Chairman J N Muguiyi C J Kirubi R M Mwangi M Byama
BRANDING COMMITTEE	H C Njoroge C J Kirubi J M Mworia M Mwangi

The directors submit their report together with the audited financial statements for the year ended 31 March 2012, in accordance with Section 157 of the Kenyan Companies Act, which discloses the state of affairs of Centum Investment Company Limited (the Company) and its subsidiaries (together, the Group).

PRINCIPAL ACTIVITIES

The principal activity of the Group and its subsidiaries remains that of engagement in investment activities.

RESULTS

	For year ended 31 March	
	2012	2011
	Kshs'000	Kshs'000
Profit before taxation	1,366,675	2,294,429
Taxation	(177,270)	(2,046)
Profit for the year transferred to retained earnings	1,189,405	2,292,383

The results for the year are set out fully on pages 8 to 64 in the attached financial statements.

DIVIDEND

Directors do not recommend the payment of a dividend (2011: Nil).

DIRECTORS

Current members of the board are shown on page 3.

In accordance with article 86 of the Articles of Association, Mr. J. N. Muguiyi and Industrial & Commercial Development Corporation retire by rotation and, being eligible, offer themselves for re-election.

In accordance with section 186(5) of the Companies Act (Cap 486 of the Laws of Kenya), Mr. C. J. Kirubi who is over the age of 70 years be and is hereby re-elected as a director of the company.

AUDITORS

PricewaterhouseCoopers having expressed their willingness, continue in office in accordance with the provisions of section 159 (2) of the Companies Act (Cap 486).

APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the Board of Directors on 18 June 2012.

By order of the Board



Naomi E. Nyamongo
Secretary
Nairobi

18 June 2012

Centum Investment Company Limited
Statement of Directors' Responsibilities
For the year ended 31 March 2012

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and of the Company as at the end of the financial year and of the Group's profit or loss. It also requires the directors to ensure that the Company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Company. They are also responsible for safeguarding the assets of the Company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and of the Company and of the Group's and the Company's profit in accordance with International Financial Reporting Standards. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement.

Nothing has come to the attention of the directors to indicate that the Company and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

Director



18 June 2012

Director



INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CENTUM INVESTMENT COMPANY LIMITED

Report on the financial statements

We have audited the accompanying financial statements of Centum Investment Company Limited (the Company) and its subsidiaries (together, the Group) set out on pages 8 to 64. These financial statements comprise the consolidated statement of financial position at 31 March 2012, and the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, together with the statement of financial position of the Company standing alone as at 31 March 2012, the statements of comprehensive income and changes in equity of the Company for the year then ended and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act and for such internal control as the directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

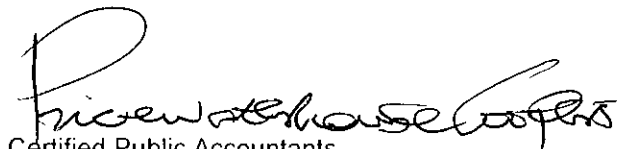
In our opinion the accompanying financial statements give a true and fair view of the financial affairs of the Group and of the Company at 31 March 2012 and of their profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF CENTUM INVESTMENT
COMPANY LIMITED (Continued)**

Report on other legal requirements

The Kenyan Companies Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the Company, so far as appears from our examination of those books; and
- iii) the Company's statement of financial position and statement of comprehensive income are in agreement with the books of account.


Certified Public Accountants
Nairobi

18 June 2012

Consolidated statement of comprehensive income

	Notes	Year ended 31 March	
		2012 Kshs'000	2011 Kshs'000
Income	6	1,272,313	2,261,431
Expenses			
Administrative expenses	7(a)	(148,094)	(205,980)
Operating expenses	7(b)	(121,709)	(93,259)
Finance costs	8	(229,872)	(154,697)
		(499,675)	(453,936)
Share of profits of associate companies	19	594,037	486,934
Profit before tax		1,366,675	2,294,429
Income tax expense	10	(177,270)	(2,046)
Profit for the year		1,189,405	2,292,383
Other comprehensive income for the year			
Reserves released on disposal of investments	11	(562,349)	(964,613)
Share of other comprehensive (loss)/income of associates	19	(91,117)	165,053
Fair value gain in unquoted investments	20	114,597	12,165
Fair value (loss)/gain in quoted investments	21	(166,121)	199,577
Currency translation differences		(2,550)	(1,355)
Total other comprehensive loss		(707,540)	(589,173)
Total comprehensive income		481,865	1,703,210
Earnings per share for profit attributable to the equity holders of the Company	12	Kshs 1.79	Kshs 3.44

Company statement of comprehensive income

		Year ended 31 March	
		2012	2011
		Kshs'000	Kshs'000
Income	6	764,460	1,684,796
Expenses			
Administrative expenses	7(a)	(136,368)	(201,853)
Operating expenses	7(b)	(90,707)	(89,113)
Finance costs	8	(49,979)	(154,697)
		(277,054)	(445,663)
Profit before income tax		487,406	1,239,133
Income tax expense	10	(41,264)	(1,950)
Profit for the year		446,142	1,237,183
Other comprehensive income for the year			
Reserves released on disposal of investments	11	(127,243)	(833,339)
Fair value gain in subsidiaries	18	13,619	902,681
Fair value gain in associates	19	882,934	1,990,419
Fair value gain in unquoted investments	20	114,597	12,165
Fair value (loss)/gain in quoted investments	21	(196,952)	86,192
Total other comprehensive income		686,955	2,158,118
Total comprehensive income		1,133,097	3,395,301

Consolidated statement of financial position

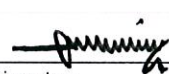
	Note	At 31 March 2012 Kshs'000	At 31 March 2011 Kshs'000
Assets			
Deferred income tax	13	-	30,443
Current income tax	10(c)	-	2,654
Investment property	15	3,992,754	3,525,578
Motor vehicle and equipment	16	26,467	26,813
Intangible assets	17	1,926	5,404
Investment in associates	19	3,614,550	3,377,305
Unquoted investments	20	1,427,206	1,338,664
Quoted investments	21	1,666,309	3,208,611
Corporate bonds at fair value through profit or loss	22	480,000	539,188
Receivables and prepayments	24	36,079	240,140
Cash and cash equivalents	25	322,410	6,776
		11,567,701	12,301,576
Capital and reserves attributable to the Company's equity holders			
Share capital	27	332,721	302,474
Share premium	27	589,753	589,753
Investment revaluation reserve	28	1,736,198	2,443,738
Retained earnings		7,382,570	6,223,412
Total equity		10,041,242	9,559,377
Liabilities			
Borrowings	26	1,000,000	1,987,980
Payables and accrued expenses	29	355,956	719,170
Unclaimed dividends	30	34,437	35,049
Current income tax	10(c)	5,114	-
Deferred income tax	13	130,952	-
		1,526,459	2,742,199
		11,567,701	12,301,576

The financial statements on pages 8 to 64 were approved for issue by the board of directors on 18 June 2012 and signed on its behalf by:

Director



Director



Company statement of financial position

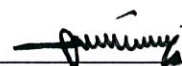
	Notes	At 31 March	
		2012 Kshs'000	2011 Kshs'000
Assets			
Deferred income tax	13	5,150	30,539
Current income tax	10(c)	-	832
Investment property	15	-	265,000
Motor vehicle and equipment	16	26,467	26,754
Intangible assets	17	1,926	3,052
Investment in subsidiaries	18	1,784,954	1,753,506
Investment in associates	19	7,128,721	6,230,521
Unquoted investments	20	1,427,206	1,338,664
Quoted investments	21	1,289,540	2,422,116
Corporate bonds at fair value through profit or loss	22	480,000	539,188
Due from subsidiary companies	23	3,104,780	2,221,780
Receivables and prepayments	24	155,344	165,745
Cash and cash equivalents	25	317,340	5,903
		<u>15,721,428</u>	<u>15,003,600</u>
Capital and reserves			
Share capital	27	332,721	302,474
Share premium	27	589,753	589,753
Investment revaluation reserve	28	8,792,989	8,106,034
Retained earnings		<u>3,970,001</u>	<u>3,554,106</u>
Total equity		<u>13,685,464</u>	<u>12,552,367</u>
Liabilities			
Borrowings	26	1,000,000	1,987,980
Payables and accrued expenses	29	134,078	144,332
Due to subsidiary companies	23	862,303	283,872
Unclaimed dividends	30	34,437	35,049
Current income tax	10(c)	<u>5,146</u>	<u>-</u>
		<u>2,035,964</u>	<u>2,451,233</u>
		<u>15,721,428</u>	<u>15,003,600</u>

The financial statements on pages 8 to 64 were approved for issue by the board of directors on 18 June 2012 and signed on its behalf by:

Director



Director



Consolidated statement of changes in equity

		Share capital	Share premium	Investment revaluation reserve	Retained earnings	Total equity
		Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Year ended 31 March 2012						
At start of year		302,474	589,753	2,443,738	6,223,412	9,559,377
Comprehensive income						
Profit for the year		-	-	-	1,189,405	1,189,405
Other comprehensive income:						
Reserves released on disposal of investments	11	-	-	(562,349)	-	(562,349)
Share of other comprehensive loss of associates	19	-	-	(91,117)	-	(91,117)
Fair value gain in unquoted investments	20	-	-	114,597	-	114,597
Fair value loss in quoted investments	21	-	-	(166,121)	-	(166,121)
Currency translation differences		-	-	(2,550)	-	(2,550)
Total other comprehensive income		-	-	(707,540)	-	(707,540)
Total comprehensive income		-	-	(707,540)	1,189,405	481,865
Transactions with owners						
Issue of bonus shares	27	30,247	-	-	(30,247)	-
Total transactions with owners		30,247	-	-	(30,247)	-
At end of year		332,721	589,753	1,736,198	7,382,570	10,041,242

Consolidated statement of changes in equity (continued)

	Notes	Share capital	Share premium	Investment revaluation reserve	Retained earnings	Total equity
		Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Year ended 31 March 2011						
At start of year		274,976	589,753	3,032,911	3,958,527	7,856,167
Comprehensive income						
Profit for the year		-	-	-	2,292,383	2,292,383
Other comprehensive income:						
Reserves released on disposal of investments	11	-	-	(964,613)	-	(964,613)
Share of other comprehensive income of associates	19	-	-	165,053	-	165,053
Fair value gain in unquoted investments	20	-	-	12,165	-	12,165
Fair value gain in quoted investments	21	-	-	199,577	-	199,577
Currency translation differences		-	-	(1,355)	-	(1,355)
Total other comprehensive income		-	-	(589,173)	-	(589,173)
Total comprehensive income		-	-	(589,173)	2,292,383	1,703,210
Transactions with owners						
Issue of bonus shares	27	27,498	-	-	(27,498)	-
Total transactions with owners		27,498	-	-	(27,498)	-
At end of year		302,474	589,753	2,443,738	6,223,412	9,559,377

Company statement of changes in equity

	Notes	Share capital Kshs'000	Share premium Kshs'000	Investment revaluation reserve Kshs'000	Retained earnings Kshs'000	Total equity Kshs'000
Year ended 31 March 2012						
At start of year		302,474	589,753	8,106,034	3,554,106	12,552,367
Comprehensive income						
Profit for the year		-	-	-	446,142	446,142
Other comprehensive income:						
Reserves released on disposal of investments	11	-	-	(127,243)	-	(127,243)
Fair value gain in subsidiaries	18	-	-	13,619	-	13,619
Fair value gain in associates	19	-	-	882,934	-	882,934
Fair value gain in unquoted investments	20	-	-	114,597	-	114,597
Fair value gain loss in quoted investments	21	-	-	(196,952)	-	(196,952)
Total other comprehensive income		-	-	686,955	-	686,955
Total comprehensive income		-	-	686,955	446,142	1,133,097
Transactions with owners						
Issue of bonus shares	27	30,247	-	-	(30,247)	-
Total transactions with owners		30,247	-	-	(30,247)	-
At end of year		332,721	589,753	8,792,989	3,970,001	13,685,464

Company statement of changes in equity (continued)

	Notes	Share capital Kshs'000	Share premium Kshs'000	Investment Revaluation Reserve Kshs'000	Retained earnings Kshs'000	Total equity Kshs'000
Year ended 31 March 2011						
At start of year		274,976	589,753	5,947,916	2,344,421	9,157,066
Comprehensive income						
Profit for the year		-	-	-	1,237,183	1,237,183
Other comprehensive income:						
Reserves released on disposal of investments	11	-	-	(833,339)	-	(833,339)
Fair value loss in subsidiaries	18	-	-	902,681	-	902,681
Share of other comprehensive income of associates	19	-	-	1,990,419	-	1,990,419
Fair value gain in unquoted investments	20	-	-	12,165	-	12,165
Fair value gain in quoted investments	21	-	-	86,192	-	86,192
Total other comprehensive income		-	-	2,158,118	-	2,158,118
Total comprehensive income		-	-	2,158,118	1,237,183	3,395,301
Transactions with owners						
Issue of bonus shares	27	27,498	-	-	(27,498)	-
Total transactions with owners		27,498	-	-	(27,498)	-
At end of year		302,474	589,753	8,106,034	3,554,106	12,552,367

Consolidated statement of cash flows

	Notes	Year ended 31 March	
		2012 Kshs'000	2011 Kshs'000
Cash flows from operating activities			
Cash (used in)/generated from operations	31	(216,890)	183,949
Interest paid	8	(179,243)	(147,914)
Income tax paid	10(c)	(9,897)	(2,591)
Dividends received from associates	19	280,941	223,267
Net cash (used in)/generated from operating activities		(125,089)	256,711
Cash flows from investing activities			
Purchase of investment property	15	(111,016)	(2,485,417)
Purchases of motor vehicles and equipment	16	(4,156)	(21,330)
Proceeds from disposal of motor vehicle and equipment		112	257
Purchases of intangible assets	17	(259)	(5,871)
Purchase of shares in associates	19	(15,266)	-
Purchase of unquoted equity investments	20	(85,240)	(382,433)
Purchase of quoted equity investments	21	(364,097)	(1,670,399)
Purchase of corporate bonds	22	(3,879,824)	-
Proceeds from disposal of unquoted investments	11	111,295	307,143
Proceeds from disposal of quoted investments	11	1,691,927	1,629,241
Proceeds on disposal of treasury and corporate bonds	11	4,088,389	-
Net cash generated from/(used in) investing activities		1,431,865	(2,628,809)
Cash flows from financing activities			
Net proceeds from borrowings		-	1,000,000
Dividends paid to Company's shareholders	30	(612)	(1,392)
Net cash (used in)/generated from financing activities		(612)	998,608
Net increase/(decrease) in cash and cash equivalents		1,306,164	(1,373,490)
Movement in cash and cash equivalents			
At start of year		(981,204)	393,641
Increase/(decrease)		1,306,164	(1,373,490)
Exchange losses on cash and cash equivalents		(2,550)	(1,355)
At end of year	25	322,410	(981,204)

Notes

1 General information

Centum Investment Company Limited is incorporated in Kenya under the Kenyan Companies Act as a public limited liability Company and is domiciled in Kenya. The Company's shares are listed on the Nairobi Securities Exchange. The address of its registered office is:

International House
5th Floor, Mama Ngina Street
P.O Box 10518 – 00100
Nairobi.

The Company has ten subsidiaries. Details of the business of the subsidiaries are highlighted in note 18 of the financial statements.

For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of comprehensive income, in these financial statements.

2 Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The financial statements have been prepared under the historical cost convention, as modified by the revaluation of investment properties, available for sale financial assets and assets at fair value through profit or loss. The financial statements are presented in Kenyan Shillings (Kshs), rounded to the nearest thousand.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

Changes in accounting policy and disclosures

(i) New and amended standards adopted by the Group

The following new standards and amendments to standards are mandatory for the first time for the financial period beginning 1 April 2011.

Standard	Title
IAS 1	Presentation of financial statements
IAS 24	Related party disclosures
IFRS 7	Financial instruments: Disclosures

Notes (continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosures (continued)

- The amendment to IAS 1, 'Presentation of financial statements' is part of the 2010 Annual Improvements and clarifies that an entity shall present an analysis of other comprehensive income for each component of equity, either in the statement of changes in equity or in the notes to the financial statements. The application of this amendment has no significant impact as the Group and Company was already disclosing the analysis of other comprehensive income on its statement of changes in equity.
- The amendment to IAS 24, 'Related party disclosures' clarifies and simplifies the definition of a related party and removes the requirement for government-related entities to disclose details of all transactions with the government and other government-related entities. The amended definition means that some entities will be required to make additional disclosures, e.g., an entity that is controlled by an individual that is part of the key management personnel of another entity is now required to disclose transactions with that second entity. Related party disclosures have increased following adoption of this amendment.
- The amendments to IFRS 7, 'Financial Instruments - Disclosures' are part of the 2010 Annual Improvements and emphasises the interaction between quantitative and qualitative disclosures about the nature and extent of risks associated with financial instruments. The amendment has also removed the requirement to disclose the following:
 - Maximum exposure to credit risk if the carrying amount best represents the maximum exposure to credit risk;
 - Fair value of collaterals; and
 - Renegotiated assets that would otherwise be past due but not impaired.
 The application of the above amendment has simplified financial risk disclosures made by the Group and Company.

Other amendments and interpretations to standards became mandatory for the year beginning 1 April 2011 but had no significant effect on the Group's financial statements.

(ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

Numerous new standards, amendments and interpretations to existing standards have been issued but are not yet effective. Below is the list of new standards that are likely to be relevant to the Group and Company.

Standard	Title	Applicable for financial years beginning on/after
IAS 1	Presentation of financial statements	1 July 2012
IFRS 10	Consolidated financial statements	1 January 2013
IFRS 12	Disclosure of interests in other entities	1 January 2013
IFRS 13	Fair value measurement	1 January 2013
IFRS 9	Financial instruments	1 January 2015

Notes (continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosures (continued)

(ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group (continued)

- **IAS 1, Presentation of financial statements**

The amendment changes the disclosure of items presented in other comprehensive income (OCI) in the statement of comprehensive income. Entities will be required to separate items presented in other comprehensive income ("OCI") into two Groups, based on whether or not they may be recycled to profit or loss in the future. Items that will not be recycled will be presented separately from items that may be recycled in the future. Entities that choose to present OCI items before tax will be required to show the amount of tax related to the two Groups separately.

The title used by IAS 1 for the statement of comprehensive income has changed to 'statement of profit or loss and other comprehensive income', though IAS 1 still permits entities to use other titles.

- **IFRS 9, 'Financial instruments'**

IFRS 9, was issued in November 2009 and October 2010 and replaces those parts of IAS 39 relating to the classification and measurement of financial instruments.

IFRS 9 requires financial assets to be classified into two measurement categories: those measured as at fair value and those measured at amortised cost. The determination is made at initial recognition. The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the instrument.

For financial liabilities, the standard retains most of the IAS 39 requirements. The main change is that, in cases where the fair value option is taken for financial liabilities, the part of a fair value change due to an entity's own credit risk is recorded in other comprehensive income rather than in profit or loss, unless this creates an accounting mismatch. The Group and Company is yet to assess IFRS 9's full impact and intends to adopt IFRS 9 no later than the accounting period beginning on or after 1 January 2015.

- **IFRS 10, 'Consolidated financial statements'**

This is a new standard that replaces the consolidation requirements in SIC-12 *Consolidation—Special Purpose Entities* and IAS 27 *Consolidated and Separate Financial Statements*. Standard builds on existing principles by identifying the concept of control as the determining factor in whether an entity should be included within the consolidated financial statements of the parent Company and provides additional guidance to assist in the determination of control where this is difficult to assess.

The revised definition of control focuses on the need to have both power and variable returns before control is present. The Group will need to consider the new guidance.

- **IFRS 12, 'Disclosure of Interests in other entities'**

IFRS 12 includes the disclosure requirements for all forms of interests in other entities, including interests in subsidiaries, associates, joint arrangements, special purpose entities and other off balance sheet vehicles. The Group is yet to assess IFRS 12s full impact.

Notes (continued)

2 Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

Changes in accounting policy and disclosures (continued)

(ii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group (continued)

- IFRS 12, 'Disclosure of Interests in other entities'

IFRS 12 includes the disclosure requirements for all forms of interests in other entities, including interests in subsidiaries, associates, joint arrangements, special purpose entities and other off balance sheet vehicles. The Group is yet to assess IFRS 12s full impact.

- IFRS 13, 'Fair value measurement'

IFRS 13 aims to improve consistency and reduce complexity by providing a precise definition of fair value and a single source of fair value measurement and disclosure requirements for use across all IFRSs. The requirements, which are largely aligned between IFRS and US GAAP, do not extend the use of fair value accounting but provide guidance on how it should be applied where its use is already required or permitted by other standards within IFRS. The Group is yet to assess IFRS 13s full impact.

There are no other IFRSs or IFRIC interpretations that are not yet effective that would be expected to have a material impact on the Group or Company.

(b) Consolidation

(i) Subsidiaries

Subsidiaries are all entities over which the Group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity. The Group also assesses existence of control where it does not have more than 50% of the voting power but is able to govern the financial and operating policies by virtue of de-facto control. De-facto control may arise in circumstances where the size of the Group's voting rights relative to the size and dispersion of holdings of other shareholders give the Group the power to govern the financial and operating policies etc.

Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date the control ceases.

The Group uses the acquisition method of accounting to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition- by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.

Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss.

Notes (continued)

2 Summary of significant accounting policies (continued)

(b) Consolidation (continued)

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IAS 39 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not remeasured, and its subsequent settlement is accounted for within equity.

Goodwill is initially measured as the excess of the aggregate of the consideration transferred and the fair value of non-controlling interest over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognised in profit or loss.

Inter-Company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

Investments in subsidiaries are accounted for at cost less impairment. Cost is adjusted to reflect changes in consideration arising from contingent consideration amendments. Cost also includes direct attributable costs of investment.

Investments in subsidiaries are classified as available for sale and accounted for at fair value in the separate financial statements of the Company.

(ii) Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

(iii) Disposal of subsidiaries

When the Group ceases to have control, any retained interest in the entity is remeasured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

Notes (continued)

2 Summary of significant accounting policies (continued)

(b) Consolidation (continued)

(iv) Associates

Investments in associates are accounted for by the equity method of accounting. These are undertakings in which the group has between 20% and 50% of the voting rights and over which the group exercises significant influence but which it does not control.

Under the equity method, investments in associates are carried in the consolidated statement of financial position at cost plus share of subsequent profits and other comprehensive income less any impairment in the value of individual investments. Losses of an associate in excess of the group's interest in that associate are recognised only to the extent that the group has incurred legal or constructive obligations or made payments on behalf of the associate. A listing of the Group's associates is shown in note 19.

Any excess of the cost of acquisition over the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of the associate recognised at the date of acquisition is recognised as goodwill. The goodwill is included within the carrying amount of the investment and is assessed for impairment as part of that investment. Any excess of the group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities over the cost of acquisition, after reassessment, is recognised immediately in profit or loss.

Investments in associates are accounted for as available-for-sale financial assets in the separate financial statements of the Company (and are stated at fair value). They are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in other comprehensive income and accumulated in the investments revaluation reserve.

Where a significant amount of new investment into a Company has been made within the financial year, the price at which the investment was made is considered the fair value unless there has been a significant change in conditions since the transaction took place. For all other investments, the earnings multiple method is employed. This method, which draws on market based measures of risk and return, involves the application of an earnings multiple to the earnings of the business being valued in order to derive a value for the business.

The earnings multiple that is applied is derived from comparable companies or transactions with similar prospects from a return and growth perspective. Where fair value cannot be reliably measured, the unquoted investment is carried at cost.

The difference between valuation and cost is recognised in other comprehensive income and accumulated in the investment revaluation reserve. Where valuation is below cost, the difference between valuation and cost is charged to profit or loss if, in the opinion of the directors, the reduction in value is not considered temporary. Where the investment is disposed of, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to profit or loss.

Notes (continued)

2 Summary of significant accounting policies (continued)

(c) Functional currency and translation of foreign currencies (continued)

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in 'Kenyan Shillings (Kshs)', which is the Group's presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in profit or loss within 'finance income or cost'. All other foreign exchange gains and losses are presented in profit or loss within 'other income' or 'other expenses'.

Translation differences related to changes in amortised cost are recognised in profit or loss, and other changes in carrying amount are recognised in other comprehensive income.

Translation differences on non-monetary financial assets and liabilities, such as equities held at fair value through profit or loss, are recognised in profit or loss as part of the fair value gain or loss. Translation differences on non-monetary financial assets, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

(iii) Group companies

The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- (i) assets and liabilities for each statement of financial position presented are translated at the closing rate at the end of the reporting period;
- (ii) income and expenses for each income statement amount are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- (iii) all resulting exchange differences are recognised in other comprehensive income.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate. Exchange differences arising are recognised in equity.

Notes (continued)

2 Summary of significant accounting policies (continued)

(d) Segment reporting

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the group that are regularly reviewed by the chief operating decision maker in order to allocate resources to the segments and to assess their performance.

The group organises its activity by business lines and these are defined as the Group's reportable segments. The three business lines are; Private Equity, Quoted Equity and Real Estate & Infrastructure. Performance is reviewed from a total return perspective.

(e) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable in the ordinary course of the Group's activities.

The Group recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the Group and when specific criteria have been met for each of the Group's activities as described below.

Revenue is recognised as follows:

- (i) Dividend income from investments is recognised when the shareholders' rights to receive payment have been established.
- (ii) Interest income is accrued on a time basis, by reference to the principal outstanding and the interest rate applicable.

(f) Investment property

Investment property is shown at fair value, based on annual valuations by external independent valuers. Increases in the carrying amount arising on revaluation of the investment property are dealt with in profit or loss.

(g) Motor vehicle and equipment

Motor vehicle and equipment are stated at cost less depreciation and any accumulated impairment losses.

Depreciation is calculated to write off the cost of the motor vehicle and equipment in equal annual instalments over their estimated useful lives.

The annual rates in use are:

Motor vehicle and motor cycles	20%
Furniture, fittings and office equipment	10%
Computers	33.3%

(h) Computer software development costs

Costs incurred on computer software are initially accounted for at cost as intangible assets and subsequently at cost less any accumulated amortisation and accumulated impairment losses. Amortisation is calculated on the straight line basis over the estimated useful lives not exceeding a period of 3 years.

Notes (continued)

2 Summary of significant accounting policies (continued)

(i) Financial assets

The Group classifies its financial assets into the following categories: financial assets at fair value through profit or loss; loans and receivables, held- to- maturity investments, and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management.

Corporate bonds

Corporate bonds are classified as financial assets at fair value through profit or loss.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Group provides money, goods or services directly to a debtor with no intention of trading the receivable.

Held- to- maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale of other than an insignificant amount of held-to-maturity assets occurs, the entire category is classified as available-for-sale.

Available-for-sale financial assets

Available-for-sale assets are financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of financial assets at fair value through profit or loss are included in profit or loss in the year in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in the investment revaluation reserve, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously accumulated in the investment revaluation reserve is recognised in profit or loss.

Quoted investments are those that relate to companies listed on the stock exchange. They are classified as available-for- sale and are stated at the middle market value as at the end of each reporting period.

Notes (continued)

2 Summary of significant accounting policies (continued)

(i) Financial assets (continued)

Unquoted investments are the unlisted non-associate companies in which the Company has invested. They are classified as available-for-sale. Where a significant amount of new investment into a Company has been made within the financial year, the price at which the investment was made is considered the fair value unless the conditions have changed since the Group made the investment. For all other investments, the earnings multiple method is employed. This method, which draws on market based measures of risk and return, involves the application of an earnings multiple to the earnings of the business being valued in order to derive a value for the business. The earnings multiple that is applied is derived from comparable companies or transactions with similar prospects from a return and growth perspective. Where fair value cannot be reliably measured, the unquoted investment is carried at cost.

The difference between valuation and cost is recognised in other comprehensive income and accumulated in the investment revaluation reserve. Where valuation is below cost, the difference between valuation and cost is charged to profit or loss if, in the opinion of the directors, the reduction in value is not considered temporary. On the disposal of an investment, the difference between the net disposal proceeds and the cost is charged or credited to profit or loss.

Impairment and uncollectability of financial assets

At the end of each reporting period, the Group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised in profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

If it is probable that the Group will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables or held-to-maturity investments carried at amortised cost, an impairment or bad debt loss has occurred. The carrying amount of the asset is reduced to its estimated recoverable amount through use of an allowance account. The amount of the loss incurred is dealt with in profit or loss for the year. The amount of the loss is measured as the difference between the asset's carrying amount and the present value of the estimated future cash flows.

For listed and unlisted shares classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered to be objective evidence of impairment.

Other factors considered by the group in determining impairment for other financial assets include:

- Significant financial difficulty of the issuer or counter party
- Default or delinquency in interest or principal repayments
- It becoming probable that the borrower will enter bankruptcy or financial re-organisation.

Notes (continued)

2 Summary of significant accounting policies (continued)

(i) Financial assets (continued)

Derecognition of financial assets

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the group retains substantially all the risks and rewards of ownership of a transferred financial asset, the group continues to recognise the financial asset and also recognises a collateralized borrowing for the proceeds received.

(j) Financial liabilities

Financial liabilities, including borrowings, are initially measured at fair value net of transaction costs. Financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or they expire.

(k) Accounting for leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is recognised on a straight-line basis over the terms of the relevant leases.

Rentals payable under operating leases are charged to the profit or loss on a straight-line basis over the term of the relevant lease.

(l) Receivables

Receivables are amounts due from investments in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are classified as current assets. If not, they are presented as non-current assets.

(m) Payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

(n) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

Notes (continued)

2 Summary of significant accounting policies (continued)

(o) Cash and cash equivalents

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less, net of bank overdrafts.

(p) Employee benefits

(i) Retirement benefit obligations

The Group operates a defined contribution pension scheme. The assets of the scheme are held in a separate trustee administered fund. The scheme is administered by independent fund managers and is funded by contributions from both the employer and the employees.

The Group also contributes to the statutory National Social Security Fund. This is a defined contribution pension scheme registered under the National Social Security Act. The Group's obligations under the scheme are limited to specific obligations legislated from time to time and are currently limited to a maximum of Shs 200 per month per employee.

The Group contributions in respect of retirement benefit schemes are charged to profit or loss in the year to which they relate.

(ii) Performance Bonus

The Group has in place a performance bonus scheme. The scheme is a reward system to employees of the Company based on achievement of certain set benchmarks of business success.

The Group's performance bonus scheme is designed to enable achievement of consistent business growth that is tied to the increase in shareholder wealth, which is a primary business objective.

A target of 15% annual increase in opening shareholder funds has been set (hurdle rate). Employees only qualify for the bonus after achievement of this percentage increase in shareholder wealth.

Actual award of the bonus is in three equal instalments over a period of three years. The annual payment is on condition that shareholder wealth is maintained at the same level or increased. Should there be a drop in shareholder wealth, payment will not be made and will be deferred until the year when shareholder wealth is restored. Should an employee leave employment of the Company before payment is due, he/she will forfeit payment. The amount payable is accrued over the period to the payment of each instalment.

(q) Dividend distribution

Dividends payable to the Company's shareholders are recognised as a liability in the Group's financial statements in the period in which the dividends are approved by the Company's shareholders. Proposed dividends are shown as a separate component of equity until declared.

Notes (continued)

2 Summary of significant accounting policies (continued)

(r) Provisions

Provisions are recognised when: the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as interest expense.

(s) Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are Grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

(t) Current and deferred income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in the profit or loss except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of the tax enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying values in the financial statements. However, if the deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill; deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised. Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.

Notes (continued)

2 Summary of significant accounting policies (continued)

(t) Current and deferred income tax (continued)

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(u) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

3 Critical accounting estimates and judgements

In the process of applying the Group's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The key areas of judgement in applying the entities accounting policies are dealt with below:

Impairment losses

At the end of each reporting period, the group reviews the carrying amounts of its financial assets to determine whether there is any indication that those assets have suffered an impairment loss. A financial asset or a group of financial assets is impaired and impairment losses are incurred if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that the loss event has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Valuation of unquoted investments

For equity instruments for which no active market exists, the group uses the price of a recent investment or the earnings multiple to estimate the fair value of these investments. Management uses estimates based historical data relating to earnings of the investee Company and other market based multiples in arriving at the fair value. The primary assumption in employing the earnings multiple method is that the market has assigned an appropriate value to the benchmark Company. The methodology and assumptions used for arriving at the market based multiples are reviewed and compared with other methodologies to ensure there are no material variances.

Income taxes

The Group is subject to income taxes in various jurisdictions. Significant judgement is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Notes (continued)

4 Financial risk management

The Group's activities expose it to a variety of financial risks and those activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the Group's business, and the operational risks are an inevitable consequence of being in business. The Group's aim is therefore to achieve an appropriate balance between risk and return and minimise potential adverse effects on its financial performance. The key types of risk include:

- Market risk - includes currency, interest rate and other price risk
- Credit risk
- Liquidity risk

The Group's overall risk management programme focuses on unpredictability of changes in the business environment and seeks to minimise the potential adverse effect of such risks on its performance by setting acceptable levels of risk.

Risk management framework

The Group recognises that in order to pursue its objectives and take advantage of opportunities, it cannot avoid taking risks, and that no risk management programme can aim to eliminate risk fully.

The Group's general risk management approach is to increase the likelihood of success in its strategic activities, that is, to raise the potential reward of its activities relative to the risks undertaken. Accordingly, the Group's approach to risk management is intended to increase risk awareness and understanding, and thus support taking risks where appropriate, in a structured and controlled manner. The Group however recognises that in pursuit of its mission and investment objectives it may choose to accept a lower level of reward in order to mitigate the potential hazard of the risks involved.

To assist in implementing its risk management policy, the Group has:

- Identified, analysed and produced a risk management strategy for those risks which might inhibit it from achieving its strategic objectives and which would threaten its ongoing survival as a leading investment Company;
- Raised awareness of and integrated risk management into its management policies.
- Promoted an understanding of the importance and value of risk management, particularly associated with investment opportunities;
- Established risk management roles and responsibilities for its board of directors, audit and risk committee and the risk department.

The risk management function is supervised by the Audit and Risk Committee. Management identifies, evaluates and hedges financial risks under policies approved by the board of directors. The board provides written principles for overall risk management, as well as written policies covering specific areas such as price risk, foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investing excess liquidity.

The Board has put in place an internal audit function to assist it in assessing the risk faced by the Company on an ongoing basis, evaluate and test the design and effectiveness of its internal accounting and operational controls.

Notes (continued)

4 Financial risk management (continued)

a) Market risks

Market risk is the risk arising from changes in market prices, such as interest rate, equity prices, and foreign exchange rates which will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

(i) Interest rate risk

The Group is exposed to interest rate risk as it borrows funds at floating interest rates in the form of short term loans (overdrafts) and also holds cash deposits with financial institutions. The interest rates on the cash deposits are fixed and agreed upon in advance while interest rates on overdrafts are pegged to the bank's base lending rate or prevailing Treasury Bills rates.

Management closely monitors the interest rate trends to minimise the potential adverse impact of interest rate changes. Deposits are placed at fixed interest rates and management is therefore able to plan for the resulting income. For the facilities with variable rates, the Company is in regular contact with the lenders in a bid to obtain the best available rates.

As at 31 March 2012, both Group and Company held deposits of Kshs 310,000,000 (2011: Kshs: Nil) and had unutilised bank credit facilities of Kshs 1,200,000,000 (2011: Kshs 212,020,000).

As at 31 March 2012, a 5% increase/decrease of the annual interest rate would have resulted in an increase/decrease in pre-tax profit and equity of Kshs 8,572,000 (2011: Kshs 7,323,000) for both Group and Company resulting from interest paid on drawn down overdraft facilities.

The Group has invested in corporate bonds with fixed interest rate which is not affected by interest rate fluctuations.

(ii) Price risk

The Group's private equity holdings are valued according to the Private Equity and Venture Capital guidelines, which set out the valuation methodology for fair valuation. Valuation is relatively subjective and may change from time to time. In addition the valuation is also affected by the volatility of the stock prices since the Group uses the earnings multiple method which entails the use of the share prices of similar/comparable quoted companies among other components. Valuation risks are mitigated by comprehensive quarterly reviews of the underlying investments by management every quarter. The appropriateness of the investment valuations are then considered by the Audit and Risk committee.

Quoted equity are valued at their market prices. These values are subject to frequent variations and adverse market movements. This risk is mitigated by choice of defensive stocks with low price volatility, and weekly monitoring of the value changes.

At 31 March 2012, if the prices at the Nairobi Securities Exchange had appreciated/depreciated by 5% with all other variables held constant, the impact on the Group comprehensive income and revaluation reserves would have been Kshs 107,315,000 (2011: Kshs 527,602,000) higher/lower.

Notes (continued)

4 Financial risk management (continued)

(a) Market risk(continued)

(ii) Price risk (continued)

At 31 March 2012, if the prices at the Nairobi Securities Exchange had appreciated/depreciated by 5% with all other variables held constant, the impact on the Company comprehensive income and equity would have been Kshs 88,477,000 (2011: Kshs 488,277,000) higher/lower.

(iii) Investment holding period risk

60% (2011: 60%) of the Group and Company's investments are not traded on any formal exchange. Disposal of these investments is constrained in many instances by pre-emptive rights, shareholder agreements and the absence of willing trade buyers or an active secondary market. The timing of realised proceeds on disposal may pose a risk to the Group.

The Group/Company mitigates this risk by seeking influence in the investee company's operations through large shareholding or board representation. The Group/Company also seeks compensation for this risk through high return hurdles during the investment appraisal and laying emphasis on dividend generating potential.

However, the Group and Company have got no fixed time horizon for its investments, and does not enforce exit options on investments as it believes current practice makes it easier to acquire attractive investments.

(iv) Concentration risk

87% (2011: 83%) of the Group's assets are located in Kenya with over 11% (2011: 15%) in the wider East African Region and 2% (2011: 2%) outside East Africa.

Investment portfolio sectoral allocation

Sector	GROUP Allocation		COMPANY Allocation	
	2012	2011	2012	2011
Real Estate	35%	30%	-	23%
Financial Services	25%	23%	35%	25%
Industrial and Allied	6%	17%	5%	14%
Alcoholic and Carbonated beverages	21%	17%	45%	26%
Automotive	8%	6%	9%	6%
Services	2%	5%	3%	4%
Publishing	3%	2%	3%	2%
Agriculture	0%	0%	0%	0%
Total	100%	100%	100%	100%

Each investment asset is considered independently by the Investment Committee and the board according to a structured process that includes extensive due diligence, industry analysis, consideration of existing assets and future capital commitments. Whereas sector limits are in place, concentration in the financial, beverages and industrial and allied sectors have mainly been brought about by organic growth and appreciation of market value. To reduce exposure to country risk the Group is actively looking for regional investment opportunities.

Notes (continued)

4 Financial risk management (continued)

(a) Market risk(continued)

(v) Foreign exchange risk

The Group's exposure to fluctuations in the foreign currency rates relate to conversion rates for valuation of overseas holdings. The Group does not have any foreign denominated financial liabilities.

The mean exchange rates ruling at 31 March 2012 and 31 March 2011 were:

	2012	2011
	Kshs'000	Kshs'000
1 US Dollar (Usd)	83.06	82.99
1 Ugandan Shilling (UgX)	0.033	0.035
1 Rwandese Franc (RwF)	0.138	0.014
1 Tanzania Shilling (Tshs)	0.052	-

Below is a summary of the financial assets denominated in foreign currencies at their carrying amounts:

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Quoted investments (UgX)	10,048	5,158	10,048	5,158
Quoted investments (RwF)	87,506	47,516	87,506	47,516
Quoted investments (Tzs)	99,074	-	-	-
Investment in Funds (Usd)	227,555	264,754	227,555	264,754
Investment property (Usd)	1,672,146	1,690,481	-	-
Prepayments	-	9,966	-	9,966
Cash and equivalents	146	3,259	129	3,060
	<u>2,096,475</u>	<u>2,021,134</u>	<u>325,238</u>	<u>330,454</u>

If all other variables were held constant, at 31 March 2012, the impact on values and reserves of the Shilling weakening or strengthening by 5% against the above currencies would have been as below;

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
1 US Dollar (Usd)	94,992	96,889	11,384	13,889
1 Ugandan Shilling (UgX)	502	258	502	258
1 Rwandese Franc (RwF)	4,375	2,376	4,375	2,376
1 Tanzanian Shilling (Tshs)	4,954	-	-	-
	<u>104,823</u>	<u>99,523</u>	<u>16,261</u>	<u>16,523</u>

Notes (continued)

4 Financial risk management (continued)

(b) Liquidity risks

This is the risk that the Group will encounter difficulties in meeting its financial commitments from its financial liabilities. Prudent liquidity risk management includes maintaining sufficient cash to meet its obligations. Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the Group's short, medium and long term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

Liquidity risk also relates to the risk that the Group would miss out attractive investment opportunities due to lack of funding. This risk is mitigated by the fact that the available for sale quoted investments can be converted to cash when funds are required. The risk is also minimised by use of annually renewable credit facilities.

As at 31 March 2012, over 17% (2011: over 30%) of the Groups assets were held in assets that are quickly convertible to cash. The Group also had Kshs 1,200,000,000 (2011: Kshs 212,020,000) unutilised credit facility (See note 26).

The net liquid assets of the Group and Company as at 31 March 2012 as highlighted below.

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Assets				
Quoted investments	1,666,309	3,208,611	1,289,540	2,422,116
Corporate bonds	480,000	539,188	480,000	539,188
Due from subsidiary companies	-	-	3,104,780	2,221,780
Receivables	19,565	230,174	152,360	155,779
Deposits	310,000	-	310,000	-
Cash and cash equivalents	12,410	6,776	7,340	5,903
	<u>2,488,284</u>	<u>3,984,749</u>	<u>5,344,020</u>	<u>5,344,766</u>
Liabilities				
Payables and accruals	355,956	719,170	134,078	144,332
Due to subsidiary companies	-	-	862,303	283,872
Unclaimed dividends	34,437	35,049	34,437	35,049
Borrowings	1,000,000	1,987,980	1,000,000	1,987,980
	<u>1,390,393</u>	<u>2,742,199</u>	<u>2,030,818</u>	<u>2,451,233</u>
Net liquid assets	<u>1,097,891</u>	<u>1,242,550</u>	<u>3,313,202</u>	<u>2,893,533</u>

The borrowings which are mainly utilised for investment purposes together with accruing interest are matched by expected future cash inflows. All financial liabilities are payable within 12 months except borrowings which are payable after the following periods;

Notes (continued)

4 Financial risk management (continued)

(b) Liquidity risk (continued)

Group and Company	Less than 1 years Kshs'000	Between 1 and 2 years Kshs'000	Between 2 and 5 years Kshs'000
At 31 March 2012			
Borrowings	533,333	466,000	400,000
Group and Company			
At 31 March 2011			
Overdrafts	987,980	-	-
Borrowings	-	389,993	781,008

(c) Credit risk

Credit risk refers to the risk that counterparty will default on its contractual obligations resulting in financial loss to the Group and the Company. The Group and the Company have adopted a policy of only dealing with credit worthy counterparties.

The credit risk exposures are classified in three categories:

- Neither past due nor impaired
- Past due
- Impaired

Credit risk arises from cash and cash equivalents, deposits with banks, corporate bonds, loans advanced as well as trade and other receivables.

The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by the banking regulatory authority. The Group has adopted a policy of only dealing with creditworthy counterparties and only investing in reputable corporates.

None of the assets subject to credit risk are past due or impaired.

Notes (continued)

4 Financial risk management (continued)

(d) Fair value hierarchy

The Group specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the Group's market assumptions. These two types of inputs have created the following fair value hierarchy:

- **Level 1**
Quoted prices in active markets for identical assets or liabilities. This level includes equity securities and debt instruments listed on the Nairobi Securities Exchange.
- **Level 2**
Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly as prices or indirectly as derived from prices.
- **Level 3**
Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs). This level includes equity investments and debt instruments with significant unobservable components.

This hierarchy requires the use of observable market data when available. The Group considers relevant and observable market prices in its valuations where possible.

The following table shows an analysis of financial instruments reflected at fair value by level of the fair value hierarchy.

Group		Level 1	Level 2	Level 3	Total
31 March 2012	Note	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Financial assets:					
Unquoted equity instruments	20	-	-	1,427,206	1,427,206
Quoted equity instruments	21	1,666,309	-	-	1,666,309
Corporate bonds	22	<u>480,000</u>	<u>-</u>	<u>-</u>	<u>480,000</u>

31 March 2011					
Financial assets:					
Unquoted equity instruments	20	-	-	1,338,664	1,338,664
Quoted equity instruments	21	3,208,611	-	-	3,208,611
Corporate bonds	22	<u>539,188</u>	<u>-</u>	<u>-</u>	<u>539,188</u>

Company		Level 1	Level 2	Level 3	Total
31 March 2012	Note	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Financial assets:					
Investment in subsidiaries	18	-	-	1,784,954	1,784,954
Investment in associates	19	-	-	7,128,721	7,128,721
Unquoted equity instruments	20	-	-	1,427,206	1,427,206
Quoted equity instruments	21	1,289,540	-	-	1,289,540
Corporate bonds	22	<u>480,000</u>	<u>-</u>	<u>-</u>	<u>480,000</u>

31 March 2011					
Financial assets:					
Investment in subsidiaries	18	-	-	1,753,506	1,753,506
Investment in associates	19	-	-	6,230,521	6,230,521
Unquoted equity instruments	20	-	-	1,338,664	1,338,664
Quoted equity instruments	21	2,422,116	-	-	2,422,116
Corporate bonds	22	<u>539,188</u>	<u>-</u>	<u>-</u>	<u>539,188</u>

Notes (continued)

4 Financial risk management (continued)

Fair value hierarchy (continued)

There were no transfers into or out of level 3 in 2012 and 2011.

The following is a movement of financial assets classified under level 3.

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At start of year	1,338,664	1,251,209	9,322,691	6,341,474
Additions	85,240	382,433	118,697	383,095
Disposals	(111,295)	(186,142)	(111,657)	(186,142)
Fair value gains/(loss)	114,597	(108,836)	1,011,150	2,784,264
At end of year	<u>1,427,206</u>	<u>1,338,664</u>	<u>10,340,881</u>	<u>9,322,691</u>

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Total gains/(loss) on level 3 financial assets held at the end of the year as recognised in other comprehensive income	<u>114,597</u>	<u>(108,836)</u>	<u>1,011,150</u>	<u>2,784,264</u>

Financial assets under level 3 are valued using earnings multiples that are based on the market prices of comparable entities. If the market prices of the comparable entities listed on the Nairobi Securities Exchange appreciated/(depreciated) by 5%, the fair values of the financial assets under level 3 would change by the following.

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
5% change market value	<u>49,533</u>	<u>42,474</u>	<u>356,436</u>	<u>341,113</u>

e) Capital management

The Group's objectives when managing capital are:

To safeguard the Group's ability to continue as a going concern so that it can continue to provide returns for the shareholders and benefits for the other stakeholders.

To maintain a strong capital base to support the current and future development needs of the business.

The Group's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is important and the Group recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

Notes (continued)

4 Financial risk management (continued)

(e) Capital management (continued)

The capital structure of the Group consists of debt, which includes borrowings, cash and cash equivalents and equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by equity. Net debt is calculated as total borrowings less cash and cash equivalents.

There have been no material changes in the Group's management of capital during the year.

The constitution of capital managed by the Company is as shown below:

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Share capital	332,721	302,474	332,721	302,474
Share premium	589,753	589,753	589,753	589,753
Investment revaluation reserve	1,736,198	2,443,738	8,792,989	8,106,034
Retained earnings	7,382,570	6,223,412	3,970,001	3,554,106
Equity	10,041,242	9,559,377	13,685,464	12,552,367
Total borrowings	1,000,000	1,987,980	1,000,000	1,987,980
Less: Bank balances	(12,410)	(6,776)	(7,340)	(5,903)
Net borrowings	987,590	1,981,204	992,660	1,982,077
Gearing (%)	9.84%	20.73%	7.25%	15.79%

5 Segment information

The Group's chief operating decision maker is the executive management committee. The Group organises its activity by business lines and these are defined as the Group's reportable segments under IFRS 8, Operating Segments. The three business lines are; Private Equity, Quoted Equity and Real Estate & Infrastructure. Performance is reviewed from a total return perspective.

Total return

Total return is the total value created in the period which includes cash value as well as unrealised movements in the portfolio. Total return is calculated as the gross portfolio return less portfolio and funding costs. Total return is expressed in absolute amount or as a percentage of opening portfolio value in the period.

Gross portfolio return

Gross portfolio return is equivalent to "revenue" for the purposes of IAS 1. It represents the overall increase in net assets from the investment portfolio. Gross return is analysed into the following components:

Notes (continued)

5 Segment information (continued)

Portfolio income

Portfolio Income is that portion of income that is directly related to the return from individual investments. It is recognised to the extent that it is probable that there will be economic benefit and the income can be reliably measured. Portfolio income includes; dividend income, interest income, rental income as well as fee income.

- **Dividend income** from investment in associates is included as portfolio income.

For the Group dividend income, the equity method of accounting is not applied and as such dividends received from associate investments are incorporated.

- **Realised profits on the disposal of investments** are the difference between the fair value of the consideration received less any directly attributable costs, on the sale of equity, and its carrying value at the start of the accounting period.

Although the net realised gains are similar to those in the statement of comprehensive income (SCI), the disclosure differs under the Group's segment reporting.

In the SCI, the difference between the sales proceeds and cost of the investments are accounted for in the income statement, while the difference between the gains and the opening fair value is then disclosed under other comprehensive income as reserves released on disposal of investments.

- **Unrealised profits on the revaluation of investments** are the movement in the carrying value of investments between the start and end of the accounting year.

Under the Group's segment reporting, there is no differentiation between fair value through profit or loss and fair value through other comprehensive income. All value movements are passed through the statement of total return.

Portfolio costs

Portfolio costs include all expenses, operating and administrative incurred in the furtherance of investment activity during the accounting period.

Portfolio value

Portfolio value includes the carrying value of equity investments as well as marketable securities.

The segment information provided to the executive management committee for the reportable segments for the year ended 31 March 2012 is as below.

All revenue is from external sources.

Notes (continued)

5 Segment information (continued)

(a)Group	Private equity	Quoted equity	Real estate & infrastructure	Total
31 March 2012	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	324,678	90,271	-	414,949
Interest income	-	52,143	-	52,143
Other income	50,774	-	6,135	56,909
Realized gains	-	56,389	-	56,389
Unrealised value movements	346,294	(121,484)	353,610	578,420
Gross return	721,746	77,319	359,745	1,158,810
Finance costs	-	(49,979)	(179,893)	(229,872)
Portfolio costs	(108,287)	(67,557)	(93,959)	(269,803)
	(108,287)	(117,536)	(273,852)	(499,675)
Net return	613,459	(40,217)	85,893	659,135
Tax	(18,340)	(12,937)	(145,993)	(177,270)
Total return	595,119	(53,154)	(60,100)	481,865
Gross return (%)	15.5%	2.0%	38.0%	12.1%
Total return (%)	12.7%	(1.3%)	(6.3%)	5.0%
Opening net asset value:				
Portfolio value	4,715,969	3,723,790	3,525,578	11,965,337
Other net assets/(liabilities)	(47,038)	219,996	(590,938)	(417,980)
Borrowings	-	-	(1,987,980)	(1,987,980)
	4,668,931	3,943,786	946,660	9,559,377
Closing net asset value:				
Portfolio value	5,041,756	2,146,309	3,992,754	11,180,819
Other net asset/(liabilities)	(76,965)	327,880	(390,492)	(139,577)
Borrowings	-	-	(1,000,000)	(1,000,000)
	4,964,791	2,474,189	2,602,262	10,041,242
Value movement in the period/(total return)				481,865

Notes (continued)

5 Segment information (continued)

(b) Group	Private equity Kshs'000	Quoted equity Kshs'000	Real estate & infrastructure Kshs'000	Total Kshs'000
31 March 2011				
Dividend income	419,430	109,996	-	529,426
Interest income	-	77,950	-	77,950
Other income	14,220	8,575	6,276	29,071
Realized gains	121,001	34,132	-	155,133
Unrealised value movements	189,493	175,253	1,002,866	1,367,612
Gross return	744,144	405,906	1,009,142	2,159,192
Finance costs	-	-	(154,697)	(154,697)
Portfolio costs	(171,306)	(84,324)	(43,609)	(299,239)
	(171,306)	(84,324)	(198,306)	(453,936)
Net return	572,838	321,582	810,836	1,705,256
Tax	(545)	(1,582)	81	(2,046)
Total return	572,293	320,000	810,917	1,703,210
Gross return (%)	17.4%	11.5%	2,757%	27.5%
Total return (%)	13.4%	9.0%	2,215%	21.7%
Opening net asset value:				
Portfolio value	4,199,795	3,473,247	35,940	7,708,982
Other net assets	76,751	69,777	657	147,185
	4,276,546	3,543,024	36,597	7,856,167
Closing net asset value:				
Portfolio value	4,715,969	3,723,790	3,525,578	11,965,337
Other net asset/(liabilities)	(47,038)	219,996	(590,938)	(417,980)
Borrowings	-	-	(1,987,980)	(1,987,980)
	4,668,931	3,943,786	946,660	9,559,377
Value movement in the period/(total return)				1,703,210

Notes (continued)

5 Segment information (continued)

(c) COMPANY	Private equity	Quoted equity	Real estate & infrastructure	Total
31 March 2012	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	324,678	79,669	-	404,347
Interest income	-	44,740	7,403	52,143
Other income	50,179	-	1,998	52,177
Realized value movements	-	83,913	-	83,913
Unrealized value movements	992,246	(152,936)	19,525	858,835
Gross return	1,367,103	55,386	28,926	1,451,415
Finance costs	-	(49,979)	-	(49,979)
Portfolio costs	(103,907)	(53,026)	(70,142)	(227,075)
	(103,907)	(103,005)	(70,142)	(277,054)
Net return	1,263,196	(47,619)	(41,216)	1,174,361
Tax	(18,281)	(18,155)	(4,828)	(41,264)
Total return	1,244,915	(65,774)	(46,044)	1,133,097
Gross return (%)	17.8%	1.4%	3.1%	11.6%
Total return (%)	16.2%	(1.7%)	(4.9%)	9.0%
Opening net asset value:				
Portfolio value	7,571,499	3,939,975	2,951,418	14,462,892
Other net assets	90,419	4,039	(17,003)	77,455
Borrowings	-	-	(1,987,980)	(1,987,980)
	7,661,918	3,944,014	946,435	12,552,367
Closing net asset value				
Portfolio value	8,555,814	2,145,791	3,992,813	14,694,418
Other asset/(liabilities)	53,246	327,938	(390,138)	(8,954)
Borrowings	-	-	(1,000,000)	(1,000,000)
	8,609,060	2,473,729	2,602,675	13,685,464
Value movement in the period/(total return)				1,133,097

Notes (continued)

5 Segment information (continued)

(d) COMPANY	Private equity Kshs'000	Quoted equity Kshs'000	Real estate & infrastructure Kshs'000	Total Kshs'000
31 March 2011				
Dividend income	421,106	88,691	-	509,797
Interest income	-	77,950	-	77,950
Other income	11,708	8,575	4,559	24,842
Realized gains	121,001	10,090	-	131,091
Unrealised value movements	1,879,642	220,564	999,028	3,099,234
Gross return	2,433,457	405,870	1,003,587	3,842,914
Finance costs	-	-	(154,697)	(154,697)
Portfolio costs	(164,916)	(84,286)	(41,764)	(290,966)
	(164,916)	(84,286)	(196,461)	(445,663)
Net return	2,268,541	321,584	807,126	3,397,251
Tax	(545)	(1,486)	81	(1,950)
Total return	2,267,996	320,098	807,207	3,395,301
Gross return (%)	43.4%	11.5%	2,777%	42.0%
Total return (%)	40.5%	9.1%	2,234%	37.1%
Opening net asset value:				
Portfolio value	5,491,311	3,487,361	35,948	9,014,620
Other net assets	110,903	31,358	185	142,446
	5,602,214	3,518,719	36,133	9,157,066
Closing net asset value				
Portfolio value	7,571,499	3,939,975	2,951,418	14,462,892
Other asset/(liabilities)	90,419	4,039	(17,003)	77,455
Borrowings	-	-	(1,987,980)	(1,987,980)
	7,661,918	3,944,014	946,435	12,552,367
Value movement in the period/(total return)				3,395,301

Notes (continued)

5 Segment information (continued)

(e) Reconciliation of total return to profit after tax for the year

	GROUP	
	2012	2011
	Kshs'000	Kshs'000
Total return as per internal reporting	481,865	1,703,210
<u>Adjustments for:</u>		
Share of associate earnings	594,037	486,934
Share of other comprehensive income of associates	(91,117)	165,053
Associate dividend income	(280,941)	(223,267)
Unrealised value movements net of dividend relating to associates	(206,713)	(428,720)
Additions in the year	(15,266)	-
Total comprehensive income	481,865	1,703,210
Other comprehensive income	707,540	589,173
Profit for the year	1,189,405	2,292,383

(f) Reconciliation of gross return to total income

Gross return as per internal reporting	1,158,811	2,159,192
<u>Adjustments for:</u>		
Associate dividend income	(271,223)	(353,658)
Unrealised value movements net of dividend relating to associates	(216,432)	(298,330)
Additions in the year	(15,266)	-
Items dealt with on other comprehensive income in the financial statements:		
Reserves released on disposal of investments	562,349	964,613
Fair value gain in unquoted securities	(114,597)	(12,164)
Fair value gain in quoted securities	166,121	(199,577)
Currency translation differences	2,550	1,355
Total income for the year	1,272,313	2,261,431

(g) Other segment reporting disclosures

	Private equity	Quoted equity	Real estate & infrastructure	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Group 31 March 2012				
Depreciation and amortisation	1,153	1,922	2,748	5,823
Motor vehicle and equipment	5,672	9,452	11,343	26,467
Intangible assets	413	688	825	1,926
Additions to motor vehicle and equipment	891	1,484	1,781	4,156
Additions to intangible assets	55	92	112	259

Notes (continued)

5 Segment information (continued)

(g) Other segment reporting disclosures (continued)

	Private equity Kshs'000	Quoted equity Kshs'000	Real estate & infrastructure Kshs'000	Total Kshs'000
Group 31 March 2011				
Depreciation and amortisation	2,114	987	767	3,868
Motor vehicle and equipment	13,971	7,224	5,618	26,813
Intangible assets	3,939	824	641	5,404
Additions to motor vehicle and equipment	11,123	5,742	4,465	21,330
Additions to intangible assets	4,281	894	696	5,871
	Private equity Kshs'000	Quoted equity Kshs'000	Real estate & infrastructure Kshs'000	Total Kshs'000
Company 31 March 2012				
Depreciation and amortisation	1,153	1,922	2,322	5,397
Motor vehicle and equipment	5,672	9,452	11,343	26,467
Intangible assets	413	688	825	1,926
Additions to motor vehicle and equipment	891	1,484	1,781	4,156
Additions to intangible assets	55	92	112	259
	Private equity Kshs'000	Quoted equity Kshs'000	Real estate & infrastructure Kshs'000	Total Kshs'000
Company 31 March 2011				
Depreciation and amortisation	1,901	987	767	3,655
Motor vehicle and equipment	13,912	7,224	5,618	26,754
Intangible assets	1,587	824	641	3,052
Additions to motor vehicle and equipment	11,058	5,742	4,465	21,265
Additions to intangible assets	1,722	894	696	3,312

The Group's investments in associates are classified under Private Equity. The movements in associates are highlighted in note 19.

(h) Analysis of income by geographical segments is as below

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Kenya	1,292,486	1,838,960	757,704	1,672,516
Uganda	(26,282)	421,676	647	-
Others	6,109	795	6,109	12,280
	<u>1,272,313</u>	<u>2,261,431</u>	<u>764,460</u>	<u>1,684,796</u>

Notes (continued)

5 Segment information (continued)

(h) Analysis of income by geographical segments is as below (continued)

Non-current assets by country

	GROUP		COMPANY	
	2012	2011	2012	2011
	Ksh'000	Ksh'000	Ksh'000	Ksh'000
Kenya				
Investment property	2,307,581	1,865,800	-	265,000
Motor vehicles and equipment	26,467	26,813	26,467	26,754
Intangible assets	1,926	5,404	1,926	3,052
Outside Kenya				
Investment property	1,685,172	1,659,778	-	-
Motor vehicles and equipment	-	-	-	-
Intangible assets	-	-	-	-

6 Income

(a) Total investment income

	Note	GROUP		COMPANY	
		2012	2011	2012	2011
		Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividends receivable		143,725	175,768	404,347	509,797
Rent income		6,136	6,276	1,998	4,559
Interest receivable		52,143	77,950	52,143	77,950
Gain on disposal of investments	11	618,737	964,613	211,156	833,339
Unrealised gains on investment property	15	356,160	1,004,221	-	229,060
Unrealised gains on corporate bond	22	44,637	9,808	44,637	9,808
Write back of long outstanding dividends	30	-	6,209	-	6,209
Other income		50,775	16,586	50,179	14,074
		<u>1,272,313</u>	<u>2,261,431</u>	<u>764,460</u>	<u>1,684,796</u>

Income from financial assets:

Available for sale financial assets	821,907	1,223,906	674,947	1,426,659
At fair value through profit & loss	400,797	9,808	44,637	9,808
	<u>1,222,704</u>	<u>1,233,714</u>	<u>719,584</u>	<u>1,436,467</u>
Investment income earned on non-financial assets	49,609	1,027,717	44,876	248,329
	<u>1,272,313</u>	<u>2,261,431</u>	<u>764,460</u>	<u>1,684,796</u>

(b) Dividend income

Associates	-	-	271,223	353,658
Subsidiary	-	-	-	1,676
Unquoted investments	53,454	65,772	53,455	65,772
Quoted investments	90,271	109,996	79,669	88,691
	<u>143,725</u>	<u>175,768</u>	<u>404,347</u>	<u>509,797</u>

Notes (continued)

7 Expenses by nature

(a) Administrative

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Staff costs (Note 9)	104,393	177,521	102,548	177,206
Directors' fees and expenses	13,928	8,461	13,928	8,461
Audit fees	4,194	2,805	3,092	2,805
Office rent & service charge	4,077	4,322	4,070	4,322
Depreciation & amortisation	5,818	3,868	5,381	3,655
Other administrative costs	15,684	9,003	7,349	5,404
	<u>148,094</u>	<u>205,980</u>	<u>136,368</u>	<u>201,853</u>

(b) Operating expenses

AGM & annual report printing	24,072	17,740	24,072	17,740
Business development costs	27,198	16,270	27,198	16,270
Capital raising costs	3,361	13,948	3,361	13,948
Advertising & PR costs	6,754	8,167	5,933	8,167
Share registration costs	3,391	5,886	3,391	5,886
Listing expenses	4,729	3,937	4,686	3,937
Other costs	52,204	27,311	22,066	23,165
	<u>121,709</u>	<u>93,259</u>	<u>90,707</u>	<u>89,113</u>

8 Finance costs

Interest on borrowings	179,243	147,914	-	147,914
Commitment fees	-	6,277	-	6,277
Forex loss	50,629	506	49,979	506
	<u>229,872</u>	<u>154,697</u>	<u>49,979</u>	<u>154,697</u>

9 Employee benefits expense

Salaries	72,234	68,056	70,389	67,741
Movement in performance bonus provision	14,249	92,842	14,249	92,842
Retirement benefit scheme contributions	4,947	4,579	4,947	4,579
National Social Security Fund contributions (NSSF)	105	91	105	91
Movement in leave pay provision	(789)	1,290	(789)	1,290
	<u>90,746</u>	<u>166,858</u>	<u>88,901</u>	<u>166,543</u>
Staff medical expenses	2,685	1,766	2,685	1,766
Other staff welfare costs	10,962	8,897	10,962	8,897
	<u>104,393</u>	<u>177,521</u>	<u>102,548</u>	<u>177,206</u>

Notes (continued)

10 (a) Income tax expense

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Current income tax	15,875	3,012	15,875	3,012
Deferred income tax (Note 13)	28,602	(3,188)	25,389	(3,284)
Under provision of deferred income tax liability in prior year	132,793	2,222	-	2,222
	<u>177,270</u>	<u>2,046</u>	<u>41,264</u>	<u>1,950</u>

(b) Reconciliation of taxation charge to expected tax based on accounting profit:

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Accounting profit before taxation	1,366,675	2,294,429	487,406	1,239,133
Tax at the applicable rate of 30%	410,002	688,329	146,222	371,740
Tax effect of income not taxable	(461,020)	(816,061)	(200,453)	(499,568)
Tax effect of expenses not deductible for tax	95,495	127,556	95,495	127,556
Prior year deferred tax under provision	132,793	2,222	-	2,222
	<u>177,270</u>	<u>2,046</u>	<u>41,264</u>	<u>1,950</u>

(c) Taxation payable/(recoverable)

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At start of year	(2,654)	(3,075)	(832)	(3,044)
Charge for the year	15,875	3,012	15,875	3,012
Current income tax receivable written off	1,790	-	-	-
Payments during the year	(9,897)	(2,591)	(9,897)	(800)
At end of year	<u>5,114</u>	<u>(2,654)</u>	<u>5,146</u>	<u>(832)</u>

Notes (continued)

11 Gains on disposal of investments

	GROUP			COMPANY		
	Cost Kshs'000	Proceeds Kshs'000	Gain on disposal Kshs'000	Cost Kshs'000	Proceeds Kshs'000	Gain on disposal Kshs'000
31 March 2012						
Quoted investments	1,177,929	1,691,927	513,998	889,731	1,019,819	130,088
Unquoted investment	111,295	111,295	-	111,295	111,295	-
Treasury bonds	3,444,461	3,562,111	117,650	2,793,645	2,887,623	93,978
Corporate bonds	539,188	526,278	(12,910)	539,188	526,278	(12,910)
	<u>5,272,873</u>	<u>5,891,611</u>	<u>618,738</u>	<u>4,333,859</u>	<u>4,545,015</u>	<u>211,156</u>
Comprising;						
Reserves released on disposal	-	-	562,349	-	-	127,243
Gain during the year	-	-	56,389	-	-	83,913
	<u>-</u>	<u>-</u>	<u>618,738</u>	<u>-</u>	<u>-</u>	<u>211,156</u>
31 March 2011						
Quoted investments	942,346	1,629,241	686,895	859,453	1,415,074	555,621
Unquoted investments	29,425	307,143	277,718	29,425	307,143	277,718
	<u>971,771</u>	<u>1,936,384</u>	<u>964,613</u>	<u>888,878</u>	<u>1,722,217</u>	<u>833,339</u>

12 Earnings per share

Basic earnings per share are calculated by dividing the profit attributable to equity holders of the Company by the weighted average number of ordinary shares in outstanding during the year.

	2012 Kshs'000	2011 Kshs'000
Profit attributable to equity holders of the Company	1,189,405	2,292,383
Weighted average number of ordinary shares in issue (thousands)	665,441	665,441
Basic earnings per share (Kshs)	<u>1.79</u>	<u>3.44</u>

At the Annual General Meeting held on 23 September 2011, the shareholders approved a bonus issue of one ordinary share for every ten shares held by utilisation of revenue reserves.

Notes (continued)

13 Deferred income tax

Deferred income tax is calculated using the enacted income tax rate of 30%. The movement on the deferred income tax account is as follows:

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Shs'000	Shs'000
At start of year	30,443	29,477	30,539	29,477
(Charge)/ credit to statement of comprehensive income (Note 10)	(161,395)	966	(25,389)	1,062
Current year deferred tax	(28,602)	3,188	(25,389)	3,284
Under provision of deferred tax in prior year	(132,793)	(2,222)	-	(2,222)
At end of year	(130,952)	30,443	5,150	30,539

Deferred income tax assets and liabilities, and deferred income tax charge/(credit) in the statement of comprehensive income are attributable to the following items:

Deferred income tax is calculated on all temporary differences under the liability method using the currently enacted tax rate of 30%.

The deferred tax asset/ (liability) is attributable to the following items:

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Performance bonus provision	5,037	27,852	5,037	27,852
Tax losses	-	2,256	-	2,256
Leave pay provision	89	387	89	387
Accelerated capital allowances	24	(52)	24	44
Fair value gain on investment property	(136,102)	-	-	-
	(130,952)	30,443	5,150	30,539

Notes (continued)

14 Prepaid operating lease rentals

	GROUP & COMPANY	
	2012	2011
	Kshs'000	Kshs'000
Cost		
At 1 April	-	59,487
Transfer to investment property	-	(59,487)
At 31 March	-	-
Amortisation		
Amortisation charge at 1 April	-	23,547
Transfer to investment property	-	(23,547)
Amortisation charge at 31 March	-	-
Net book value	-	-

In 2011, land which was previously held as an operating lease was transferred to investment property and reported at fair value in line with the requirements of IAS 40 as the Group now holds the land for the purposes of development of an investment property (Note 15).

15 Investment property

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At start of year				
Cost/valuation	3,525,578	-	265,000	-
Transfer from operating lease rentals (Note 14)	-	35,940	-	35,940
Additions	111,016	2,485,417	-	-
Transfer out	-	-	(265,000)	-
Fair value gains	356,160	1,004,221	-	229,060
At end of year	3,992,754	3,525,578	-	265,000

The fair value model has been applied for the investment property. The Company commissioned an independent valuer to determine the fair value of the investment property as at 31 March 2012. The fair value was supported by market evidence.

Notes (continued)

16 Motor vehicle and equipment

	GROUP Kshs'000	COMPANY Kshs'000
At 1 April 2010		
Cost	19,630	19,630
Accumulated depreciation	<u>(8,283)</u>	<u>(8,283)</u>
Net book amount	<u>11,347</u>	<u>11,347</u>
Year ended 31 March 2011		
Opening net book amount	11,347	11,347
Additions	21,330	21,265
Disposals (cost)	(5,933)	(5,933)
Depreciation charge	(2,800)	(2,794)
Disposals (accumulated depreciation)	2,869	2,869
Closing net book amount	<u>26,813</u>	<u>26,754</u>
At 31 March 2011		
Cost	35,027	34,963
Accumulated depreciation	<u>(8,214)</u>	<u>(8,209)</u>
Net book amount	<u>26,813</u>	<u>26,754</u>
Year ended 31 March 2012		
Opening net book amount	26,813	26,754
Additions	4,156	4,156
Disposals (cost)	(1,689)	(1,625)
Depreciation charge	(4,012)	(4,012)
Disposals (accumulated depreciation)	1,199	1,194
Closing net book amount	<u>26,467</u>	<u>26,467</u>
At 31 March 2012		
Cost	37,494	37,494
Accumulated depreciation	<u>(11,027)</u>	<u>(11,027)</u>
Net book amount	<u>26,467</u>	<u>26,467</u>

17 Intangible assets

	GROUP		COMPANY	
	2012	2011	2012	2011
	Shs'000	Shs'000	Shs'000	Shs'000
Cost				
At start of year	6,841	1,908	4,282	1,908
Additions	259	5,871	259	3,312
Disposal	<u>(2,559)</u>	<u>(938)</u>	<u>-</u>	<u>(938)</u>
At end of year	<u>4,541</u>	<u>6,841</u>	<u>4,541</u>	<u>4,282</u>
Amortisation				
At start of year	1,437	1,307	1,230	1,307
Charge for the year	1,811	1,068	1,385	861
Released on disposal	<u>(633)</u>	<u>(938)</u>	<u>-</u>	<u>(938)</u>
At end of year	<u>2,615</u>	<u>1,437</u>	<u>2,615</u>	<u>1,230</u>
Net book value	<u>1,926</u>	<u>5,404</u>	<u>1,926</u>	<u>3,052</u>

Notes (continued)

18 Investment in subsidiaries (all 100% beneficiary owned)

Company	Share capital Kshs'000	01.04.11 Kshs'000	Additions Kshs'000	Disposals Kshs'000	31.03.12 Kshs'000	Fair Value	
						31.03.12 Kshs'000	31.03.11 Kshs'000
Kenya National Properties Limited	31,300	114,735	-	-	114,735	284,002	284,063
Rasimu Limited	100	100	-	-	100	613,271	700,746
Centum BVI Limited	8	8	-	-	8	(97)	8
Pearl Marina Estates Limited	362	362	-	(362)	-	-	417,839
Runda Closeburn Limited	100	100	-	-	100	576,196	352,663
Uhuru Heights Limited	100	100	-	-	100	1,960	27
eTransact Limited	100	100	-	-	100	(7,021)	(1,840)
Centum Exotics(Mauritius)	100	-	100	-	100	87,388	-
Centum Development(Mauritius)	91	-	91	-	91	211,690	-
Centum Asset Managers Limited	18,000	-	18,000	-	18,000	17,565	-
		115,505	18,191	(362)	133,334	1,784,954	1,753,506

Subsidiary	Country of Incorporation	Principal activity
Kenya National Properties Ltd	Kenya	The principal activity of Kenya National Properties Limited is the management, ownership and development of property for rental purposes. During the year, the Company had no property but was actively prospecting for opportunities.
Rasimu Limited	Kenya	Incorporated in July 2008 and principal activity is engagement in investment activities. The subsidiary has invested in Carbacid Investment Company Limited.
Centum BVI Limited	British Virgin Islands	Incorporated in October 2009 and principal activity is engagement in infrastructure investments.
Two Rivers Development Limited	Kenya	Formerly known as Runda Closeburn Limited incorporated in September 2010 and principal activity is engagement in real estate investments.

Notes (continued)

18 Investment in subsidiaries (continued)

Subsidiary	Country of incorporation	Principal activity
Pearl Marina Estates Ltd	Uganda	Incorporated in May 2010 and principal activity is engagement in real estate investments. The subsidiary has invested in 212 acres of land in Entebbe Uganda.
eTransact Ltd	Kenya	Incorporated in August 2010 and principal activity is engagement in mobile phone software advancement.
Centum Exotics Ltd	Mauritius	Incorporated in July 2011 and principal activity is engagement investment in quoted private equity investments.
Centum Development (Mu)	Mauritius	Incorporated in July 2011 and the principal activity is engagement in real estate. During the year the Company took over the holding of Centum Investment in Pearl Marina Estates Limited
Centum Asset Managers	Kenya	Incorporated in February 2012 and the principal activity is engagement in fund management.
Uhuru Heights Limited	Kenya	Incorporated in September 2009 and the principal activity is engagement in the management, ownership and development of property for rental purposes.

Notes (continued)

18 Investment in subsidiaries (continued)

Fair value movement – Company	2012 Kshs'000	2011 Kshs'000
Opening valuation of subsidiaries	1,753,506	850,163
Additions	18,191	662
Disposals*	(362)	-
Fair value gain in subsidiaries	13,619	902,681
Closing valuation of subsidiaries	<u>1,784,954</u>	<u>1,753,506</u>

Investments in Subsidiaries are classified as non-current assets.

*During the period, Centum's investment in Pearl Marina Estates Limited was transferred to its subsidiary Company; Centum Development Limited.

19 Investment in associates

	GROUP		COMPANY	
	2012 Shs'000	2011 Shs'000	2012 Shs'000	2011 Shs'000
At start of year	3,377,305	2,948,585	6,230,521	4,240,102
Share of profits after taxation	594,037	486,934	-	-
Share of other comprehensive income	(91,117)	165,053	-	-
Fair value gain	-	-	882,934	1,990,419
Dividends received	(280,941)	(223,267)	-	-
Acquisitions during the year	15,266	-	15,266	-
	<u>237,245</u>	<u>428,720</u>	<u>898,200</u>	<u>1,990,419</u>
At end of year	<u>3,614,550</u>	<u>3,377,305</u>	<u>7,128,721</u>	<u>6,230,521</u>

Associates are accounted for under the equity method in the Group's financial statements. Under the equity method, investments in associates are carried in the consolidated statement of financial position at cost plus share of subsequent profits less any impairment in the value of individual investments.

Associates are held at fair value in the Company's separate financial statements.

Summarised financial information in respect of the associates' performance are set out overleaf.

Notes (continued)

19 Investment in associates (continued)

The Group's share of the results of its principal associates, all of which are unlisted, and its aggregated assets (including goodwill) and liabilities are as follows:

	Country	2012 % interest held	2011 % interest held
AON Minet Insurance Brokers Limited	Kenya	21.50	21.50
KWA Holdings Limited	Kenya	26.43	26.43
Mount Kenya Bottlers Limited	Kenya	27.80	27.80
Nairobi Bottlers Limited	Kenya	27.62	27.62
Rift Valley Bottlers Limited	Kenya	43.99	43.99
UAP Holdings Limited	Kenya	24.23	24.23
Kisii Bottlers Limited	Kenya	23.89	23.89
Longhorn Publishers Limited	Kenya	35.00	35.00
UAP Financial Services Limited	Uganda	29.00	-

The Group's share of the results of its principal associates, all of which are unlisted, and its aggregated assets (including goodwill) and liabilities are as follows:

	2012 Kshs'000	2011 Kshs'000
Total assets	30,709,119	27,041,191
Total liabilities	(17,276,117)	(14,598,074)
Net assets	13,433,002	12,443,117
Total revenue	26,565,307	22,426,120
Total profit for the year	1,633,250	2,582,613
Group's share of associate's contingent liabilities	765,187	765,954

The extent to which an outflow of funds will be required on the Group's share of associate's contingent liabilities is dependent on the future operations of the associates being more or less favourable than currently expected.

Investments in associates are classified as non-current assets.

Notes (continued)

20 Unquoted investments

GROUP & COMPANY

	2012	2011
	Kshs'000	Kshs'000
Opening valuation	1,338,664	1,251,209
Movements in the year:		
Additions	85,240	382,433
Disposals	(111,295)	(29,425)
Released on disposal	-	(277,718)
Fair value gain	114,597	12,165
	<u>88,542</u>	<u>87,455</u>
Closing valuation	1,427,206	1,338,664

Unquoted investments are classified as non current assets

21 Quoted investments

GROUP

COMPANY

	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Opening valuation	3,208,611	2,967,876	2,422,116	2,080,599
Movements in the period:				
Additions	364,097	1,670,399	81,350	1,670,399
Disposals	(1,177,929)	(942,346)	(889,731)	(859,453)
Released on disposal (Note 11)	(562,349)	(686,895)	(127,243)	(555,621)
Fair value gain	(166,121)	199,577	(196,952)	86,192
	<u>(1,542,302)</u>	<u>240,735</u>	<u>(1,132,576)</u>	<u>341,517</u>
Closing valuation	<u>1,666,309</u>	<u>3,208,611</u>	<u>1,289,540</u>	<u>2,422,116</u>

Quoted investments are classified as non current assets.

22 Corporate bonds at fair value through profit or loss

GROUP & COMPANY

	2012	2011
	Kshs'000	Kshs'000
Opening valuation	539,188	505,371
Movements in the period:		
Additions	3,879,824	-
Disposals	(3,983,649)	-
Interest receivable	-	24,009
Fair value gain through profit and loss	44,637	9,808
	<u>(59,188)</u>	<u>33,817</u>
Closing valuation	<u>480,000</u>	<u>539,188</u>

Corporate bonds are classified as non current assets

Notes (continued)

23 Subsidiary balances

	COMPANY	
	2012	2011
	Kshs'000	Kshs'000
(a) Due from Subsidiaries		
Rasimu Limited	-	301,708
Centum BVI Limited	97	-
Pearl Marina Estates Limited	1,115,998	667,883
Runda Closeburn Limited	1,461,139	1,248,033
eTransact Limited	6,909	4,156
Uhuru Heights Limited	269,662	-
Centum Exotics Limited	250,613	-
Centum Development Limited	362	-
	<u>3,104,780</u>	<u>2,221,780</u>
(b) Due to Subsidiaries		
Kenya National Properties Limited	284,417	283,837
Centum BVI Limited	-	8
Uhuru Heights Limited	-	27
Centum Asset Managers Limited	17,623	-
Centum Development Limited	91	-
Rasimu Limited	560,172	-
	<u>862,303</u>	<u>283,872</u>
	<u>2,242,477</u>	<u>1,937,908</u>

The balances due to and due from the subsidiaries are interest free and have no specific repayment period.

24 Receivables & prepayments

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividends receivable	6,086	12,312	136,141	152,084
Land investment prepayments	-	9,966	15	9,966
Disposal proceeds receivable	-	214,168	-	-
Other receivables & prepayments	23,296	3,694	12,491	3,695
Interest receivable	6,697	-	6,697	-
	<u>36,079</u>	<u>240,140</u>	<u>155,344</u>	<u>165,745</u>

The carrying amounts of the receivable and prepayments approximate to their fair values.

25 Cash and cash equivalents

For the purpose of the statement of cash flows cash and cash equivalents comprise;

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Call deposits (maturing within 90 days)	310,000	-	310,000	-
Bank balances	12,410	6,776	7,340	5,903
Overdraft balances	-	(987,980)	-	(987,980)
	<u>322,410</u>	<u>(981,204)</u>	<u>317,340</u>	<u>(982,077)</u>

Notes (continued)

26 Borrowings

GROUP & COMPANY
2012 2011
Kshs'000 Kshs'000

The borrowings are made up as follows:

Non-current

Bank borrowings	666,667	1,000,000
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Current

Bank borrowings	333,333	-
Bank overdraft	-	987,980

Total borrowings	<u>1,000,000</u>	<u>1,987,980</u>
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At 31 March 2012 the Group had undrawn committed borrowing facilities amounting to Kshs 1,200,000,000 (2011: Kshs 212,020,000). The effective interest rate for bank overdraft was 22% (2011: 9.5%) and 20.00% (2011: 10.00%) for long term loan.

The long term loan facility is secured by a floating charge over all the listed securities.

27 Share capital & Premium	Year ended 31 March 2012			Year ended 31 March 2011		
	Number of shares	Ordinary shares Kshs'000	Share Premium Kshs'000	Number of shares	Ordinary shares Kshs'000	Share Premium Kshs'000
Group and Company						
At start of year	604,947	302,474	589,753	549,952	274,976	589,753
Issue of shares – bonus	60,494	30,247	-	54,995	27,498	-
At end of year	<u>665,441</u>	<u>332,721</u>	<u>589,753</u>	<u>604,947</u>	<u>302,474</u>	<u>589,753</u>

The total authorised number of ordinary shares is 800,000,000 with a par value of Kshs 0.50 per share. 665,441,714 shares (2011:604,947,013 shares) are issued and fully paid up.

At the Annual General Meeting held on 23 September 2011, the shareholders approved a bonus issue of one ordinary share for every ten shares held by utilisation of revenue reserves. As a result, 60,494,701 bonus shares were issued during the year (2011: 54,995,183 shares).

28 Reserves

(a) Investment revaluation reserve

The investment revaluation reserve arises on the revaluation of available-for-sale financial assets. Where a revalued financial asset is sold, the portion of the reserve that relates to that financial asset, and is effectively realised, is reduced from the investment revaluation reserve and is recognised in profit or loss. Where a revalued financial asset is impaired, the portion of the reserve that relates to that financial asset is recognised in profit or loss.

(b) Retained earnings

The retained earnings represent amounts available to the shareholders of the Group. Retained earnings are utilised to finance business activity.

Notes (continued)

29 Payables and accruals	GROUP		COMPANY	
	2012 Kshs'000	2011 Kshs'000	2012 Kshs'000	2011 Kshs'000
Sundry payables and accruals	13,398	13,935	12,296	13,644
Settlements in respect of investments	284,280	608,199	63,504	33,652
Leave pay provision	2,173	4,194	2,173	4,194
Performance bonus provision	56,105	92,842	56,105	92,842
	<u>355,956</u>	<u>719,170</u>	<u>134,078</u>	<u>144,332</u>

The carrying amounts of the payables approximate to their fair values.

30 Unclaimed dividends	GROUP		COMPANY	
	2012 Kshs'000	2011 Kshs'000	2012 Kshs'000	2011 Kshs'000
At the beginning of the year	35,049	42,650	35,049	42,650
Dividend paid	(612)	(1,392)	(612)	(1,392)
Write back of long outstanding dividends	-	(6,209)	-	(6,209)
At the end of the year	<u>34,437</u>	<u>35,049</u>	<u>34,437</u>	<u>35,049</u>

31 Cash generated from operations	Note	GROUP	
		2012 Kshs'000	2011 Kshs'000
Reconciliation of profit before income tax to cash generated from operations			
Profit before income tax		1,366,675	2,294,429
Adjustments for:			
Interest expense	8	179,243	147,914
Depreciation on motor vehicle and equipment	16	4,012	2,800
Amortisation of intangible assets	17	1,811	1,068
Fair value gains on corporate bonds	22	(44,637)	(33,817)
Fair value gains on investment property	15	(356,160)	(1,004,221)
Loss on disposal of intangible asset		1,926	2,807
Loss on disposal of motor vehicles and equipment		377	-
Gains on disposal of quoted investments	11	(618,737)	(686,895)
Gains on disposal of unquoted investments	11	-	(277,718)
Share of profit from associates	19	(594,037)	(486,934)
Write back of long outstanding dividends	30	-	(6,209)
Write-off of tax receivable	10(c)	1,790	-
Changes in working capital			
– receivables and prepayments		204,061	(208,622)
– payables and accrued expenses		(363,214)	439,347
Cash (used in)/generated from operations		<u>(216,890)</u>	<u>183,949</u>

Notes (continued)

32 Related party transactions

The Group transacts with companies related to it by virtue of common shareholding and also by virtue of common directors.

The following transactions were carried out with related parties:

	GROUP & COMPANY	
	2012	2011
	Kshs'000	Kshs'000
i) Purchase of services		
Office rent (paid to entity controlled by a director)	3,648	3,945
Insurance premiums (paid to an associate)	2,435	2,804
	<u>6,083</u>	<u>6,749</u>

(ii) Key management compensation

Key management includes executive directors and members of senior management. The compensation paid or payable to key management for employee services is shown below:

	GROUP & COMPANY	
	2012	2011
	Kshs'000	Kshs'000
Salaries	45,301	41,227
Performance bonus	14,932	65,625
Retirement benefit scheme contribution	3,196	3,092
	<u>63,429</u>	<u>109,944</u>

(iii) Directors' remuneration

Fees for services as a non executive director	13,928	8,461
Other included in key management compensation above	37,985	36,701
	<u>51,913</u>	<u>45,162</u>

(iv) Outstanding related party balances

Performance bonus	14,932	65,625
Transaction fees (due to an associate)	-	5,717
	<u>14,932</u>	<u>71,342</u>

Notes (continued)

33 Commitments

(i) Capital commitments

Capital expenditure contracted for at the reporting date but not recognised in the financial statements is as follows:

	GROUP & COMPANY	
	2012	2011
	Kshs'000	Kshs'000
Equipment	-	823

(ii) Operating lease commitments

At the end of the reporting year, the Group had outstanding lease commitments under lease obligations which fall due as follows;

	GROUP & COMPANY	
	2012	2011
	Kshs'000	Kshs'000
Within one year	3,648	3,648
Within the second to fourth years inclusive	5,319	8,967
	8,967	12,615

34 Financial instruments by category

(a) Financial assets

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
At fair value through profit or loss	480,000	539,188	480,000	539,188
Loans and receivables	358,489	246,916	3,577,464	2,393,428
Available for sale	3,093,515	4,547,275	11,633,647	11,744,807
	3,932,004	5,333,379	15,691,111	14,677,423

Notes (continued)

34 Financial instruments by category (continued)

(a) Financial assets (continued)

	GROUP		COMPANY	
	2012	2011	2012	2011
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Fair value through profit or loss				
Corporate bonds	480,000	539,188	480,000	539,188
Loans and receivables:				
Receivables	36,079	240,140	155,344	165,745
Deposits	310,000	-	310,000	-
Cash and cash equivalents	12,710	6,776	7,340	5,903
Due from subsidiary Companies	-	-	3,104,780	2,221,780
	358,789	246,916	3,577,464	2,393,428
Available for sale:				
Investment in subsidiaries	-	-	1,784,954	1,753,506
Investment in associates	-	-	7,128,721	6,230,521
Unquoted investments	1,427,206	1,338,664	1,427,206	1,338,664
Quoted investments	1,666,309	3,208,611	1,289,540	2,422,116
	3,093,515	4,547,275	11,630,421	11,744,807

(b) Financial liabilities

All the Group's financial liabilities are measured at amortised cost. The carrying value of the Group's and the Company's financial liabilities at the end of 2012 and 2011 is shown on note 4(b).

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